



Hamilton School for
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Progress by Consent

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on Easterly (2021), after Adam Smith*

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David Hume, 1753

"I am apt to suspect the negroes, and in general all the other species of men (for there are four or five different kinds) to be naturally inferior to the whites. There never was a civilized nation of any other complexion than white, nor even any individual eminent either in action or speculation."

— *"Of National Characters"* (1753 ed.); via *Easterly* (2021), fn. 2.



David Hume (1711–1776)

The 18th-c. orthodoxy

Underdevelopment = innate inferiority.

Innate inferiority $\Rightarrow$ no rights to choose $\Rightarrow$ **licensed coercion**.

- ▶ One logic underwrote three projects at once: seizure of Indian lands, chattel slavery, colonization of whole countries.
- ▶ Hume drew the conclusion explicitly: “superior” Europeans “*throw off all restraints of justice, and even of humanity*” toward the “barbarous” (Hume 1751; via Easterly fn. 4).
- ▶ James Dunbar (1782) attacked Hume on moral and religious grounds — but offered no positive counter-framework.

Smith's reply (Easterly's wager)

Not a direct refutation of innate-difference claims, but an **alternative framework**: mutual gains from trade collapse the moment one party coerces the other. Economics does the moral work.

Step 1 — Smith really was a development economist

Step 2 — Universal individual choice

Step 3 — Superior institutions do not reflect superior people

Step 4 — A moral floor: the impartial spectator

Step 5 — Smith vs. colonialism

Conclusion

- ▶ “Development economics emerged out of nowhere after WWII” — Easterly’s own 2001 line. He now recants.
- ▶ Define the field as **the study of development differences among nations and peoples**. Then *Wealth of Nations* (1776) is in it.
- ▶ Smith cites **164 different places or ethnic groups**: Peru, Mexico, Egypt, India, China, Tartary, lowland Scotland, British North America, Holland. . .

Smith’s vocabulary — the developed

- ▶ civilized, opulent, modern
- ▶ improved, advanced, rich

... the undeveloped

- ▶ savage, barbarous, rude
- ▶ unimproved, ignorant, poor

... and change over time

- ▶ progress, advance
- ▶ stationary, decline, decay

Smith as proto-IMF

Hypothesis: **free trade, free markets, division of labor**; transport costs and access to waterways set who joins the gains.



Created with HistoricalMapChart.net

Fig. 1 Countries or colonies mentioned in Adam Smith's *The Wealth of Nations* shaded black. Top 20 in the number of mentions shown as hatched. Places not mentioned shown in grey. Created using <https://historicalmapchart.net/world-1815.html>.

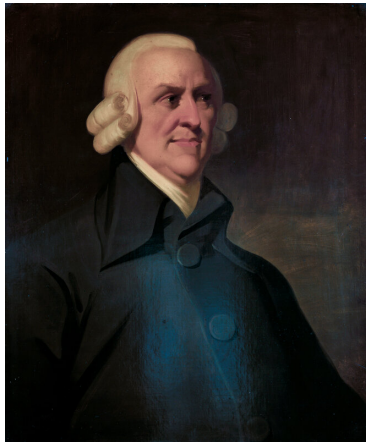
Easterly (2021), Fig. 1. Black: mentioned. Hatched: top-20 most mentioned. Grey: not mentioned. Base map: historicalmapchart.net/world-1815.html.

The half of the butcher quote nobody quotes

"It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own interest."

(Smith 1776; via Easterly fn. 8)

- ▶ Choice exists on both sides: the butcher chooses to sell; we consent to buy.
- ▶ Word counts in WoN: choose/choice: 48×; consent: 24×.
- ▶ Peart & Levy call Smith's premise analytical egalitarianism — every individual, of every group, equally capable of acting in his or her own interest.



Adam Smith (1723–1790)

A member of the Scottish Enlightenment,
replying to Hume

“Learn, Mr. Hume, to prize the blessings of Liberty and Education, for . . . had you been born and bred a slave, your Genius . . . would never have been heard of.”

Via Sebastiani (2013); Easterly fn. 10.

- ▶ Hume read his own intellectual stature as proof of European **innate** superiority.
- ▶ The rejoinder turns the same fact on its head: Hume’s “Genius” is a product of **liberty and education**, not of race.
- ▶ Switch the circumstances and the supposed superiority



David Hume (1711–1776)

- ▶ No consent $\Rightarrow$ no mobility $\Rightarrow$ no incentive to work hard $\Rightarrow$ no incentive to innovate.
- ▶ Smith: slave-worked lands “*produce as little as possible*” (WoN; via Easterly fn. 14).
- ▶ Labor-saving innovations “*have been the discoveries of freemen*” (Easterly fn. 15).

Smith's natural experiment (WoN; via Easterly fn. 15)

The same neighborhood, the same ore, two labor regimes:

Free Hungarian mines — high productivity.

Slave Turkish mines — low productivity.

The punchline

Bad aggregate outcomes for a nation or “racial group” reflect **lack of opportunity and bad institutions denying individual choice**, not innate group failings.

- ▶ Even if institutions matter, the institutions are not designed by “superior” people.
- ▶ Complex social outcomes are **unintended general equilibrium** — what Hayek will later call **spontaneous order**, and what complexity theorists call the emergence of a complex adaptive system.
- ▶ If no one intends the outcome, no one can claim it as proof of their group’s superiority or of a right to direct others.

Adam Ferguson (1782; via Easterly fn. 16)

“Every step and every movement of the multitude, even in what are termed enlightened ages, are made with equal blindness to the future; and nations stumble upon establishments, which are indeed the result of human action, but not the execution of any human design.”

Ferguson on the colonial inference (via Easterly fn. 17)

“On the credit of a superiority which civilized nations possess, they think that they have a claim to dominion.” — the inference Ferguson rejects.

Smith's principle

"The division of labour is limited by the extent of the market."

- ▶ Reverse causality: development → specialization. So a **vicious circle** of poverty is possible.
- ▶ What sets a region into a virtuous or vicious circle is **geography and transport costs**, not group virtue.
- ▶ Domestic example: Scottish coal stranded *"in an inland country, thinly inhabited, and without either good roads or water-carriage"* (fn. 23).
- ▶ Long-lived obstacles: Tartary, Siberia, inland Africa — *"in the same barbarous and uncivilized state in which we find them at present"* (fn. 24).
- ▶ Lucky cases ride the coast or a river: ancient Greece; Egypt along the Nile; the Barbary Coast; the cities of Italy — *"the first in Europe which were raised by commerce to any considerable degree of opulence."*
- ▶ Smith already anticipates the modern **gravity model**: extent of market = population × proximity to rich neighbors (China, India; Holland).

Adam Smith, *The Theory of Moral Sentiments* (1759), p. 240 (via Easterly fn. 26)

"The man of system . . . is apt to be very wise in his own conceit; and is often so enamoured with the supposed beauty of his own ideal plan of government. . . He seems to imagine that he can arrange the different members of a great society with as much ease as the hand arranges the different pieces upon a chess-board. He does not consider that the pieces upon the chess-board have no other principle of motion besides that which the hand impresses upon them; but that, in the great chess-board of human society, every single piece has a principle of motion of its own, altogether different from that which the legislature might chuse to impress upon it."

- ▶ Smith's most direct attack on the **social engineer**.
- ▶ The pretension to "design" superior outcomes for one's own group collapses — and with it the pretension to design them for any other.

Constrained vision (Smith / Sowell)

- ▶ Each piece has "a principle of motion of its own."
- ▶ Order is grown, not made: markets, common law, language.
- ▶ Humility about design; trade-offs, not solutions.
- ▶ Good outcomes come from incentives, not from elite intentions.

Unconstrained vision

- ▶ The planner arranges society "as the hand arranges the pieces upon a chess-board."
- ▶ Society as an engineering problem; the expert specifies needs.
- ▶ Intentions are decisive; bad outcomes = bad institutions.
- ▶ Godwin, Condorcet, Veblen, Galbraith.

Cross-reference

Sowell, *A Conflict of Visions*, Ch. 2 — see prior deck. Smith's chess-board passage is the seed of the constrained vision.

Smith's story of the collapse of the feudal baron:

1. Barons sat on huge **grain surpluses** they could not sell (high transport costs, few cities).
2. So they fed the surplus to **private armies** and to swarms of servile dependents.
3. Armies $\Rightarrow$ power $\Rightarrow$ war against rivals and **oppression of serfs**.
4. Slow growth of cities and the discovery of America **opened trade**.
5. Barons traded grain for **luxury goods** — and lost interest in armies and retinues.
6. Power evaporated; **serfs gradually became free**.

Smith on the unforeseen revolution (WoN; via Easterly fn. 27)

"Nobody had either knowledge or foresight of that great revolution."

Same story rerun for the fall of Church power: commerce did what *"all the wisdom and virtue of man could never have shaken"* (fn. 28).

- ▶ Choice $\equiv$ **absence of coercion**. Mutual gains require mutual respect of rights.
- ▶ Self-love distorts our judgment; social norms admit “good company” and “bad company” equilibria.
- ▶ Smith’s anchor above norms: an **inner tribunal** that asks how a fully informed, unbiased observer would judge.

Smith, *TMS* (1759), p. 132 (via Easterly fn. 31)

“... an appeal lies... to the tribunal of their own consciences, to that of the supposed impartial and well-informed spectator, to that of the man within the breast, the great judge and arbiter of their conduct.”

The system of natural liberty — the conditional (*WoN*; Easterly fn. 36)

*“Every man, **as long as he does not violate the laws of justice**, is left perfectly free to pursue his own interest his own way.”* (italics in Easterly)

Standard textbook use of the passage: Smith showing how selfish we are about faraway suffering.
That is the setup, not the punchline.

Smith, *TMS*, pp. 137–138 (the continuation; Easterly fn. 32)

“To prevent, therefore, this paltry misfortune to himself, would a man of humanity be willing to sacrifice the lives of a hundred millions of his brethren, provided he had never seen them? Human nature startles with horror at the thought, and the world, in its greatest depravity and corruption, never produced such a villain as could be capable of entertaining it.”

- ▶ Smith's point is **reciprocity**: the impartial spectator condemns indifference to distant suffering as monstrous.
- ▶ And the **choice of China** is deliberate — reciprocity of rights extends explicitly to **non-Europeans**, against the moral norm Hume had described.



Theodor de Bry, c. 1590s

Smith, WoN (Easterly fn. 39)

“The savage injustice of the Europeans rendered an event, which ought to have been beneficial to all, ruinous and destructive to several of those unfortunate countries.”

Smith, WoN (Easterly fn. 41)

“Injustice seem to have been the principles which presided over and directed the first project of establishing those colonies; the folly of hunting after gold and silver mines, and the injustice of coveting the possession of a country whose harmless natives, far from having ever injured the people of Europe, had received the first adventurers with every mark of kindness and hospitality.”



Clive and Mir Jafar after Plassey
(Hayman, c. 1762)

Two coercive instruments in one “very singular government”: a **monopoly** + an **army**.

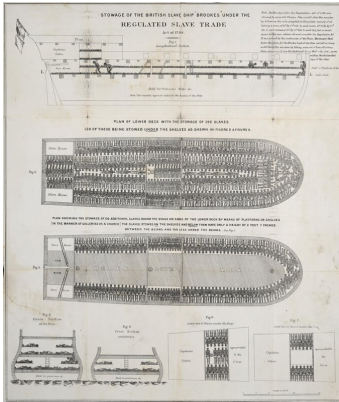
Smith on the EIC (Easterly fn. 45)

“Every member of the administration. . . gets rich and leaves India, caring so little about the future of the country that he would be perfectly indifferent though the whole country was swallowed up by an earthquake.”

The verdict (Easterly fn. 49)

“Altogether unfit to govern its territorial possessions.”

Systemic, not personal (Easterly fn. 50)



"Description of a Slave Ship," 1788

Smith, *TMS* (Easterly fn. 51)

"Fortune never exerted more cruelly her empire over mankind, than when she subjected those [African] nations of heroes to the refuse of the jails of Europe; to wretches who possess the virtues neither of the countries which they come from, nor of those which they go to. . ."

- ▶ Smith inverts the racial hierarchy: dignity sits with the enslaved; **moral monstrosity** sits with the European trader.
- ▶ Strong enough that Virginia pamphleteer Arthur Lee (1764) complained Smith had "debased" slave-owners into **"monsters"** (fn. 52).
- ▶ In *WoN*, Smith re-affirms: *"The property which every man has in his own labour. . . is the most sacred and inviolable"* (fn. 53).

The colonizer is the **Man of System writ continental**: he presumes he can arrange a whole society “*as the hand arranges the pieces upon a chess-board*” — without their consent.

After Smith, the synthesis broke. The rare exceptions (Easterly fn. 60):

- ▶ **Mises (1927)**: colonial policy “stands in the **sharpest contrast** to all the principles of liberalism.”
- ▶ **Hayek (1944)**: even mild colonial planning involves “the **imposition of certain values and ideals** on those whom they try to assist.”
- ▶ **Friedman & Friedman (1980)**: denying opportunity by “ethnic background, color, or religion... is an interference with [their] **right to ‘Life, Liberty, and the pursuit of Happiness.’**”

Smith’s combination — **pro-market AND anti-colonial** — went rare for over a century.

Smith's prophecy (WoN; Easterly fn. 57)

*“... the inhabitants of all the different quarters of the world may arrive at that equality of courage and force which... can alone overawe the injustice of independent nations into some sort of **respect for the rights of one another.**”*

Engine: extensive commerce “from all countries to all countries.”

Discussion

1. What does the standard textbook truncation of the **China earthquake** get wrong?
2. Does modern “**humanitarian intervention**” satisfy the consent test Smith demands?
3. Why did **anti-colonialism** and **pro-market** thinking split after Smith — and what would reunite them?